Investment Committee Memorandum — Company A — B2B SaaS

Executive Summary

The proposed investment in Company A — B2B SaaS is based on a focused value creation plan over the first 24 months post-close. The company operates in the B2B SaaS sector and has meaningful opportunity to improve commercial execution, margin discipline, and capital efficiency.

Value Creation Plan

Management and the sponsor expect to grow the annual revenue run-rate to approximately £35,800,000 by Month 24 through improved sales execution, tighter pricing governance, and better customer retention. This represents continued organic growth from the current run-rate of roughly £20,300,000.

The underwriting case assumes EBITDA margin improves from approximately 18% at close to approximately 24% by Month 24. This improvement is expected to come from operating leverage, SG&A; discipline, and tighter procurement controls.

The capital structure plan expects net debt to EBITDA to reduce from approximately 3.3x at close toward 1.2x by Month 24, supported by cash generation and disciplined capex.

The operating team should reduce SG&A; intensity over the investment period. In the first year, the company should identify cost actions that move SG&A; toward the long-term target range while avoiding disruption to revenue growth.

The company should hire a Chief Revenue Officer within 90 days of close to improve pipeline management, sales accountability, and revenue forecasting quality.

There is also an expectation that management will improve monthly reporting cadence and produce a KPI pack that includes revenue, EBITDA, cash, net debt, working capital, and pipeline metrics. The exact completion date for the reporting upgrade is still to be confirmed with management.

Monitoring Priorities

The operating partner should monitor revenue growth, EBITDA margin, SG&A; intensity, free cash flow conversion, and net debt to EBITDA every month. Any sustained revenue plateau combined with rising SG&A; should be escalated because it would indicate margin compression risk.